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Response to Request for Information on the Development of an Artificial Intelligence (AI) Action Plan

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Introduction

As an attorney specializing in artificial intelligence law and policy, with dual JD/MBA credentials from the University of Toronto and extensive experience advising both government entities and private sector organizations, I offer this analysis of priority policy actions that should be included in the United States' AI Action Plan. My perspective is informed by my current roles as Lead Counsel at ENGR Solutions, where I advise government entities on the use and development of AI systems, Senior Counsel at SSM Law, where I advise the nation's leading AI investors and innovators, and my previous experience at prominent law firms in New York and San Francisco advising federal government clients, private equity funds, venture capital investors, and startups on complex legal and structural matters.

America's continued leadership in AI requires a policy framework that not only fosters technological advancement but also ensures equitable distribution of benefits across the economy. Through my work with public sector organizations, including advising on AI implementation strategies and governance frameworks, I have identified three critical policy areas that warrant inclusion in the AI Action Plan to sustain and enhance America's AI dominance while promoting responsible innovation.

Policy Framework #1: Democratizing Government AI Adoption Through Legal and Procurement Reform

Analysis of Current Legal and Regulatory Barriers

Current federal procurement regulations and practices present significant barriers to small business participation in government AI initiatives. My analysis of existing procurement frameworks reveals structural disadvantages for smaller, innovative AI companies:

1. Federal Acquisition Regulation (FAR) compliance requirements impose disproportionate administrative burdens on small businesses

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2. Extensive past performance requirements favor established large contractors, disadvantages new operators in a newly emergent field and practice such as AI, and disincentives innovative risk-taking approaches in government
3. Contract bundling practices often place opportunities beyond the reach of specialized AI firms
4. Security clearance and compliance requirements create high fixed costs that disadvantage smaller entities

These legal and regulatory barriers not only limit small business participation but also restrict government access to innovative AI solutions, creating market inefficiencies and potential technological stagnation.

Proposed Legal Framework

I recommend the establishment of a **Small Business AI Participation Framework** with the following legal and regulatory components:

1. **Modified Procurement Thresholds:** Amend FAR regulations to create specialized procurement pathways for AI services under certain thresholds, incorporating:
 - Simplified compliance requirements proportional to contract size
 - Modified past performance requirements that recognize expertise rather than just previous government contracts
 - Legal protections for intellectual property contributed by small businesses
2. **Mandatory Set-Aside Program:** Enact regulations requiring:
 - Minimum percentage (25%) of federal AI procurement specifically for small businesses including hyper small emerging up-starts
 - Legal definition of "AI services" for procurement purposes
 - Prohibition on unnecessary bundling of AI services with other technology requirements
 - Enforcement mechanisms with agency-specific compliance targets
3. **Legal Structure for Collaborative Contracting:** Develop legal frameworks for:
 - Small business AI consortia with simplified legal structures
 - AI Mentor-Protégé program with clearly defined intellectual property rights
 - Joint venture frameworks that protect small business interests in larger contracts

Implementation Strategy and Legal Considerations

Implementation would require:

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1. Executive action directing the SBA and Federal Acquisition Regulatory Council to develop AI-specific procurement regulations
2. Amendments to existing small business regulations to incorporate AI-specific provisions
3. Development of standardized contract language addressing data rights, model ownership, and liability considerations
4. Establishment of legal oversight mechanisms to ensure compliance with set-aside requirements

This framework aligns with established legal precedent supporting small business set-asides while specifically addressing the unique challenges of AI procurement. By establishing clear legal pathways for small business participation, this policy would enhance innovation while addressing potential legal concerns related to competition and procurement integrity.

Case Analysis: Lessons from Current Public Sector AI Implementation

Through my work advising public sector organizations, I have observed how procurement barriers directly impact AI adoption outcomes. One illustrative case involves a municipal library system where the standard procurement process would have favored established technology incumbents like Microsoft, which pushed solutions that were not attentive to library-specific needs and community contexts. By implementing an innovative approach that bypassed regular procurement channels, we enabled participation from specialized AI training providers with expertise in educational settings.

The results were transformative: the organization achieved significantly better outcomes at lower cost while building sustainable internal expertise that remained within the institution. Moreover, this approach created a more distributed economic impact, directing resources to specialized local providers rather than contributing to the centralized extraction of local resources that typically occurs with large-scale vendors. The specialized trainers developed contextual solutions that responded to community needs while keeping economic benefits within the region.

This case demonstrates the potential national-scale benefits of procurement reform: enhanced innovation, cost efficiency, more effective technology transfer, and distributed economic benefits. Similar approaches at the federal level would likely yield substantial improvements in government AI capabilities while strengthening the domestic AI ecosystem and creating more balanced economic outcomes across different communities and regions.

Policy Framework #2: Enabling AI-Powered Income Generation for Individuals and Small Businesses

Analysis of Economic Opportunity Barriers

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My examination of the current AI landscape reveals significant barriers preventing individuals and small businesses from leveraging AI to generate income:

1. Access barriers to high-quality AI tools training that remain prohibitively expensive for many
2. Knowledge gaps preventing effective utilization of AI for economic advancement
3. Structural workforce challenges, particularly for experienced workers facing displacement
4. Limited infrastructure in underserved communities creating AI opportunity deserts

These barriers risk creating a two-tiered AI economy where economic benefits accrue primarily to large technology companies and already-advantaged populations. Without intervention, AI could exacerbate rather than ameliorate economic disparities.

Proposed AI Economic Empowerment Framework

I recommend the establishment of an AI Economic Opportunity Initiative with four integrated components:

- 1. Democratized Access to Training for AI Tools and Infrastructure:**
 - Federal subsidies for premium AI tool training and access for income-generating activities
 - Public high-performance computing resources for AI applications requiring advanced computing
 - Rural broadband expansion ensuring equitable geographic access to AI opportunities
 - Regulatory frameworks ensuring baseline AI tool accessibility for Americans with disabilities
- 2. Comprehensive Skills Development Program:**
 - Federally-funded AI literacy and application training through community institutions
 - Specialized certification programs validating AI skills for employment markets
 - Sector-specific AI application curricula developed in partnership with industry
 - Train-the-trainer programs to rapidly scale AI literacy nationwide
- 3. Financial Support Structure:**
 - Small business AI adoption grants covering implementation costs
 - Microloan programs specifically for AI-enabled entrepreneurship
 - Tax credits incentivizing AI investments by small businesses
 - Innovation vouchers for small businesses to access AI consulting services
- 4. Experience-Based AI Career Pathways:**
 - Programs specifically leveraging experienced workers' domain knowledge with AI tools
 - Apprenticeship models pairing experienced workers with technical AI specialists
 - Remote work platforms connecting workers with AI skills to appropriate opportunities

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- Entrepreneurship incubators supporting AI-enabled business models

Case Analysis: AI-Enabled Career Transformation for Experienced Workers

Through my advisory work, I have documented numerous cases of experienced professionals leveraging AI to create new income streams. One illustrative example involves a 60-year-old professional who encountered significant barriers in the traditional job market despite extensive experience.

This individual utilized AI tools to:

1. Modernize her resume with contemporary terminology while highlighting valuable experience
2. Identify previously unrecognized transferable skills with marketplace value
3. Practice interview questions with AI-generated feedback
4. Develop a coaching practice leveraging her domain expertise enhanced by AI capabilities

The outcomes were significant: successful re-employment in a competitive field and the development of an entrepreneurial coaching practice as an additional income stream. This case demonstrates how AI can serve as an equalizer, personalized career advisor, and force multiplier for experienced professionals, extending productive working years and unlocking economic value from accumulated knowledge.

Implementation Strategy and Regulatory Considerations

Implementation would require:

1. Cross-agency coordination through a dedicated AI Economic Opportunity Commission
2. Funding authorizations for grant, subsidy, and infrastructure programs
3. Regulatory guidance on accessibility requirements for AI tools receiving government support
4. Data privacy and algorithmic fairness standards to ensure protections for program participants

This framework balances immediate economic assistance with long-term capacity building. By addressing both tool access and skill development, it creates sustainable pathways for AI-enabled income generation while establishing appropriate protections for participants.

Analysis of Economic and Innovation Benefits

Research on technology adoption indicates that diversifying the user base for advanced technologies leads to more innovative applications and use cases. By enabling broader participation in the AI economy, this framework would likely accelerate development of AI applications in specialized

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domains where experienced workers hold valuable knowledge. The resulting innovation would strengthen America's competitive position while creating more balanced economic outcomes.

The framework also addresses critical labor market challenges, including worker displacement and skills gaps, by creating pathways for continuous economic participation throughout careers. By helping experienced workers leverage AI to extend their productive careers, these policies would help address labor shortages while preserving valuable institutional and domain knowledge.

Policy Framework #3: Federal AI Literacy and Governance Initiative

Analysis of Current Knowledge Gaps and Governance Challenges

My work advising government entities on AI implementation has revealed significant knowledge gaps that impede effective adoption and governance. These gaps manifest in:

1. Insufficient understanding of AI capabilities and limitations among decision-makers
2. Inadequate technical capacity to properly evaluate AI systems and services
3. Limited ability to develop appropriate governance frameworks and oversight mechanisms
4. Difficulty articulating requirements and specifications for AI procurements

These knowledge gaps create inefficiencies, limit potential benefits, and potentially introduce governance risks in government AI adoption.

Proposed AI Literacy and Governance Framework

I recommend establishing a **Federal AI Competency Framework** consisting of:

1. **Tiered AI Literacy Program:** Develop:
 - Mandatory baseline AI literacy training for all federal employees
 - Advanced certification programs for key technical and procurement roles
 - Executive-level training focused on strategic and governance considerations
2. **AI Governance Standards:** Establish:
 - Government-wide framework for AI system governance
 - Standardized risk assessment methodologies
 - Performance and evaluation metrics for AI implementations
 - Clear accountability structures for AI system outcomes
3. **Legal and Ethical Implementation Guidelines:** Create:
 - Standard operating procedures for responsible AI implementation

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- Legal compliance frameworks addressing privacy, bias, and accountability
- Ethical guidelines for agency-specific AI applications

Implementation Strategy

Implementation would require:

1. Executive action directing the Office of Personnel Management to develop AI competency standards
2. Allocation of dedicated funding for AI training and governance development
3. Establishment of interagency working groups to develop governance frameworks
4. Creation of central resources for AI implementation guidance

This approach would build essential capacity throughout the federal government while establishing consistent governance practices. By creating a common language and framework for AI implementation, it would enhance efficiency and effectiveness while reducing risks.

Analysis of Public Interest Benefits

Enhancing government AI literacy and governance capabilities serves multiple public interest objectives:

1. **Improved Service Delivery:** AI-literate agencies can better leverage technology to improve citizen services
2. **Enhanced Efficiency:** Proper AI implementation can reduce costs and improve resource allocation
3. **Appropriate Oversight:** Knowledge-based governance reduces risks of improper AI implementation
4. **Innovation Facilitation:** Technologically informed agencies can better partner with private sector innovators

These benefits directly align with the goal of sustaining American AI leadership while ensuring that AI adoption serves the public interest.

Conclusion: An Integrated Approach to American AI Leadership

The three policy frameworks outlined above form an integrated approach to enhancing America's AI leadership. By reforming procurement to enable small business participation, creating economic structures to broaden AI benefits, and building essential government competencies, these policies would address critical barriers to effective AI development and deployment.

My analysis indicates that these policy frameworks would:

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1. Accelerate innovation by diversifying the AI development ecosystem
2. Enhance economic benefits by broadening participation in the AI economy
3. Improve government effectiveness through strategic AI implementation
4. Establish appropriate governance while avoiding unnecessary barriers to innovation

As an attorney specializing in AI law and policy, I believe these frameworks represent a balanced approach that promotes innovation while establishing appropriate guardrails. By addressing structural barriers to broad-based AI adoption, these policies would help ensure that America's AI leadership benefits all sectors of society while enhancing our nation's technological capabilities.

I welcome the opportunity to provide additional analysis or contribute further to the development of the AI Action Plan. The United States stands at a critical juncture in AI development, and thoughtful policy can help ensure that we maintain leadership while promoting responsible innovation that serves the national interest.

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